SERENDIB UNIVERSITY ENDOWMENT

Portfolio review

USD 10 million

1 Jan 2007 to 31 Oct 2026

Our current view

The historical results look reasonable at first glance, but the backtest raises a warning: losses crossed the 95% VaR estimate more often than expected. Past results cannot tell us what the next crisis will look like.

Suggested portfolio from the historical optimizer

Fund	Weight	Amount
SPY - US shares	31.5%	$3.15m
AGG - investment grade bonds	35.0%	$3.50m
GLD - gold	33.5%	$3.35m

The optimizer assigned 0% to EFA, EEM, XLE and XLK. This concentration is one reason to treat the result as a starting point, not an approved allocation.

What the sample showed

Yearly return / volatility	7.2% / 9.4%
Largest peak to trough fall	-24.3%
Sharpe ratio	0.59 (FRED 3 month Treasury rate)
95% daily VaR / ES	$90,525 / $141,566 (historical)
99% daily VaR / ES	$161,672 / $241,741 (historical)
EVT 95% loss estimate	0.91%; 250 exceedances at 95% cutoff

Stress tests and backtest

Portfolio changes in the selected crisis windows: 2008 -9.5%, COVID crash -13.3%, 2022 rate rises -16.0%, and the made up shock -4.4%. The 95% holdout had 91 breaches in 1,497 days. Kupiec p=0.064; Christoffersen independence p=0.278; Basel style signal: red.

What we would do next

Review why the model produced so many exceptions, compare the optimizer with a more balanced allocation, and agree on a loss limit before investing. The EVT estimate changes with its cutoff and has no confidence interval yet, so we would not rely on it alone.